

Clark County, Arkansas

Regulatory Basis Financial Statements and Other Reports

December 31, 2008

LEGISLATIVE JOINT AUDITING COMMITTEE



CLARK COUNTY, ARKANSAS
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Sen. Bobby L. Glover
Senate Co-Chair
Rep. Johnny Hoyt
House Co-Chair
Sen. Bill Pritchard
Senate Co-Vice Chair
Rep. Beverly Pyle
House Co-Vice Chair

Arkansas



Roger A. Norman, JD, CPA, CFE
Legislative Auditor

LEGISLATIVE JOINT AUDITING COMMITTEE DIVISION OF LEGISLATIVE AUDIT

INDEPENDENT AUDITOR'S REPORT

Clark County, Arkansas Officials and Quorum Court Members
Legislative Joint Auditing Committee

We have audited the accompanying regulatory basis financial statements of the general fund, road fund, and other funds in the aggregate of Clark County, Arkansas, as of and for the year ended December 31, 2008, as listed in the table of contents. These financial statements are the responsibility of the County's management. Our responsibility is to express opinions on these financial statements based on our audit.

We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinions.

As described more fully in Note 1(B and C), the County has prepared these financial statements using accounting practices prescribed or permitted by Arkansas Code, which practices differ from accounting principles generally accepted in the United States of America. The effect on the financial statements of the variances between these regulatory accounting practices and accounting principles generally accepted in the United States of America, although not reasonably determinable, are presumed to be material.

In our opinion, because of the effects of the matter discussed in the preceding paragraph, the financial statements referred to above do not present fairly, in conformity with accounting principles generally accepted in the United States of America, the financial position of Clark County, Arkansas, as of December 31, 2008, or the changes in its financial position or where applicable, its cash flows, thereof for the year then ended. Further, the County has not presented a management's discussion and analysis that accounting principles generally accepted in the United States has determined is necessary to supplement, although not required to be part of, the basic financial statements.

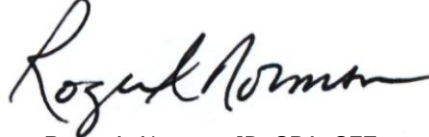
The financial statements referred to above do not disclose all the required information concerning deposit risks, which should be included in order to conform with the regulatory basis of accounting described in Note 1(C).

In our opinion, except for the effects on the financial statements of the omission described in the preceding paragraph, the financial statements referred to above present fairly, in all material respects, the respective regulatory basis financial position of the general fund, road fund, and other funds in the aggregate of Clark County, Arkansas, as of December 31, 2008, and the respective changes in the regulatory basis financial position, and the budgetary results for the general fund and road fund for the year then ended on the basis of accounting as described in Note 1(C).

In accordance with *Government Auditing Standards*, we have also issued our report dated February 9, 2010, on our consideration of the County's internal control over financial reporting and our tests of its compliance with certain provisions of the state constitution, laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* and should be considered in assessing the results of our audit.

Our audit was conducted for the purpose of forming opinions on the accompanying regulatory basis financial statements of Clark County, Arkansas. The accompanying financial information listed as supporting schedules in the table of contents is presented for purposes of additional analysis and is not a required part of the financial statements of Clark County, Arkansas. Such information has been subjected to the auditing procedures applied in the audit of the financial statements and, in our opinion, except for the effects on the financial information in the supporting schedules of the omission described above, such information is fairly stated in all material respects in relation to the financial statements taken as a whole. The supplementary information in the Schedule of Capital Assets required by the regulatory basis of presentation and the Schedule of Selected Information for the Last Five Years as listed in the table of contents as Schedules 3 and 4 are presented for the purpose of additional analysis. We have not applied auditing procedures to this information and, accordingly, we express no opinion on these schedules.

DIVISION OF LEGISLATIVE AUDIT

A handwritten signature in black ink, appearing to read "Roger A. Norman". The signature is fluid and cursive, with a large initial "R" and "N".

Roger A. Norman, JD, CPA, CFE
Legislative Auditor

Little Rock, Arkansas
February 9, 2010
LOCO01008

Sen. Bobby L. Glover
Senate Co-Chair
Rep. Johnny Hoyt
House Co-Chair
Sen. Bill Pritchard
Senate Co-Vice Chair
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House Co-Vice Chair

Arkansas



Roger A. Norman, JD, CPA, CFE
Legislative Auditor

LEGISLATIVE JOINT AUDITING COMMITTEE DIVISION OF LEGISLATIVE AUDIT

REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING, COMPLIANCE AND OTHER MATTERS, AND OTHER ISSUES BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH GOVERNMENT AUDITING STANDARDS

Clark County, Arkansas Officials and Quorum Court Members
Legislative Joint Auditing Committee

We have audited the accompanying regulatory basis financial statements of the general fund, road fund, and other funds in the aggregate of Clark County, Arkansas, as of and for the year ended December 31, 2008, and have issued our report thereon dated February 9, 2010. We issued an adverse opinion because the County prepared the financial statements using accounting practices prescribed or permitted by Arkansas Code, which differ from accounting principles generally accepted in the United States of America. The effect on the financial statements of the variances between these regulatory accounting practices and accounting principles generally accepted in the United States of America, although not reasonably determinable, are presumed to be material. However, with respect to the basis of accounting described in Note 1(C), our opinions on the general fund, road fund, and other funds in the aggregate were qualified because required disclosures were not made concerning deposit risks. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States.

Internal Control Over Financial Reporting

In planning and performing our audit, we considered the County's internal control over financial reporting as a basis for designing our auditing procedures for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the County's internal control over financial reporting. Accordingly, we do not express an opinion on the effectiveness of the County's internal control over financial reporting.

Our consideration of internal control over financial reporting was for the limited purpose described in the preceding paragraph and would not necessarily identify all deficiencies in internal control over financial reporting that might be significant deficiencies or material weaknesses. However, as discussed below, we identified a certain deficiency in internal control over financial reporting that we consider to be a significant deficiency.

A control deficiency exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect misstatements on a timely basis. A significant deficiency is a control deficiency, or combination of control deficiencies, that adversely affects the County's ability to initiate, authorize, record, process, or report financial data reliably in accordance with the regulatory basis of accounting as prescribed or permitted by Arkansas Code such that there is more than a remote likelihood that a misstatement of the County's financial statements that is more than inconsequential will not be prevented or detected by the County's internal control. We consider the following deficiency to be a significant deficiency in internal control over financial reporting:

2008-1 To ensure the proper safeguarding of assets, financial accounting duties relating to initiating, receipting, depositing, disbursing, and recording cash transactions should be distributed among appropriate employees. The County officials, as specified in the Other Issues section of this report, did not segregate these duties to sufficiently reduce the risks of fraud or error and properly safeguard the County's assets, because of limited financial resources. We recommend that the financial accounting duties in each office be segregated among employees to the extent possible.

The County officials, as specified in the Other Issues section of this report, responded and indicated that their offices will segregate the duties relating to initiating, receipting, depositing, disbursing, and recording cash transactions to the extent possible with the current staffing levels.

A material weakness is a significant deficiency, or combination of significant deficiencies, that results in more than a remote likelihood that a material misstatement of the financial statements will not be prevented or detected by the County's internal control.

Our consideration of internal control over financial reporting was for the limited purpose described in the first paragraph of this section and would not necessarily identify all deficiencies in internal control that might be significant deficiencies and, accordingly, would not necessarily disclose all significant deficiencies that are also considered to be material weaknesses. However, we consider the significant deficiency described above as item 2008-1 to be a material weakness.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the County's financial statements are free of material misstatement, we performed tests of the County's compliance with certain provisions of the state constitution, laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

The County's response to the findings identified in our audit is described above. We did not audit the County's response and, accordingly, we express no opinion on it.

Other Issues

The following issues are not significant deficiencies, material weaknesses or material instances of noncompliance, but are issues that are presented to assist in the efficient operation of the County.

The commentary contained in this section relates to the following officials who held office during 2008:

County Judge: Ron Daniell
Treasurer: Judy Beth Hutcherson
Sheriff and Tax Collector: David Turner
County Clerk: Rhonda Cole
Circuit Clerk: Penny Ross (resigned October 31, 2008)
Renee Pritchard (appointed November 5, 2008)
County Librarian: Judy Golden

Our audit procedures indicated that the offices of **Treasurer**, **Sheriff**, **County Clerk**, and **County Librarian** were in substantial compliance with Arkansas fiscal and financial laws. Noncompliance with state law and accepted accounting practices was noted in the offices of **County Judge**, **Circuit Clerk**, and **Tax Collector**.

County Judge

Kitchen equipment for the County Jail purchased for \$31,427 was not bid as required by Ark. Code Ann. §§ 14-22-101 — 14-22-115.

Tax Collector

We performed information systems audit procedures on the Tax Collector's Apprentice for Windows Application to coincide with the 2008 financial audit. The following internal control weaknesses were discovered during our audit:

I. General Controls

1. Network intrusion scanning for the office network revealed that services running on the network were not configured properly to ensure secured authentication and to block unauthorized access; and public terminals were not properly secured to prevent outside access. These conditions increased the probability of outside infiltration of the network.
2. Backups were not created at adequate intervals to support both short and long term recovery efforts. The off-site backup facility was not geographically removed from the courthouse and was not physically or environmentally safeguarded. Failing to maintain off-site backups could have resulted in loss of data in the event of a disaster.
3. There was no formally documented and approved Disaster Recovery or Business Continuity Plan. This situation could have caused the county to be without computer processing for an extended period of time in the event of a disaster or major interruption and could have placed undue financial and personnel burdens on the resources of the county.

II. Application Controls

1. Password controls did not adequately secure access to the application. The minimum number of characters required for passwords was below industry standards. Passwords were not required to be changed on a periodic, recurring basis that did not exceed 90 days. Passwords were not required to contain a mixture of alpha and numeric characters. A password history file was not maintained and user accounts were not locked after three unsuccessful logon attempts. These conditions increased the likelihood of gaining unauthorized access to county resources.
2. Proper segregation of duties was not employed in system accounting roles within the Collector's application. Failure to properly assign access permissions afforded users the ability to process and conceal unauthorized transactions.

Circuit Clerk

We performed information systems audit procedures on the Circuit Clerk's Receipting Application to coincide with the 2008 financial audit. The following internal control weaknesses were discovered during our audit:

I. General Controls

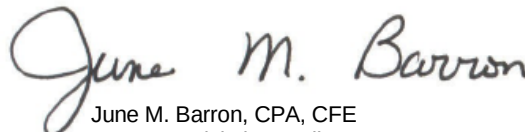
1. Network intrusion scanning for the office network revealed that services running on the network were not configured properly to ensure secured authentication and to block unauthorized access; and public terminals were not properly secured to prevent outside access. These conditions increased the probability of outside infiltration of the network.
2. Backups were not created at adequate intervals to support both short and long term recovery efforts. The off-site backup facility was not geographically removed from the courthouse and was not physically or environmentally safeguarded. Failing to maintain off-site backups could have resulted in loss of data in the event of a disaster.
3. There was no formally documented and approved Disaster Recovery or Business Continuity Plan. This situation could have caused the county to be without computer processing for an extended period of time in the event of a disaster or major interruption and could have placed undue financial and personnel burdens on the resources of the county.

II. Application Controls

1. Password controls did not adequately secure access to the application. The minimum number of characters required for passwords was below industry standards. Passwords were not required to be changed on a periodic, recurring basis that did not exceed 90 days; and a password history file was not maintained. These conditions increased the likelihood of gaining unauthorized access to the application.
2. Proper segregation of duties was not employed in system accounting roles within the Circuit Clerk's application. Failure to properly assign access permissions afforded users the ability to process and conceal unauthorized transactions.
3. Data integrity controls were inadequate within the Circuit Clerk's Receipting system, specifically related to system numbering, receipt modification and trust check processing. Sound information system practices dictate that a solid authorization structure be in place to secure critical transactions and that field edit checks be employed to prevent incorrect or unauthorized data from being processed.

This report is intended solely for the information and use of the Legislative Joint Auditing Committee, local County government, state executive and oversight management, the federal awarding agencies and pass-through entities, if applicable, and other parties as required by Arkansas Code, and is not intended to be and should not be used by anyone other than these specified parties. However, pursuant to Ark. Code Ann. § 10-4-417, all reports presented to the Legislative Joint Auditing Committee are matters of public record and distribution is not limited.

DIVISION OF LEGISLATIVE AUDIT


June M. Barron, CPA, CFE
Deputy Legislative Auditor

Little Rock, Arkansas
February 9, 2010

CLARK COUNTY, ARKANSAS
BALANCE SHEET - REGULATORY BASIS
DECEMBER 31, 2008

Exhibit A

	General	Road	Other Funds In The Aggregate
ASSETS			
Cash and cash equivalents	\$ 1,426,552	\$ 3,015,522	\$ 4,342,395
Accounts receivable	431,197	207,582	220,791
	<u>\$ 1,857,749</u>	<u>\$ 3,223,104</u>	<u>\$ 4,563,186</u>
TOTAL ASSETS			
LIABILITIES AND FUND BALANCES			
Liabilities:			
Accounts payable	\$ 71,133	\$ 11,977	\$ 72,954
Settlements pending	87,797	774	1,039,887
Total Liabilities	<u>158,930</u>	<u>12,751</u>	<u>1,112,841</u>
Fund Balances:			
Reserved (Note 7)	2,429	3,210,353	3,450,345
Unreserved:			
Designated	392,847		
Undesignated	1,303,543		
Total Fund Balances	<u>1,698,819</u>	<u>3,210,353</u>	<u>3,450,345</u>
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 1,857,749</u>	<u>\$ 3,223,104</u>	<u>\$ 4,563,186</u>

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES AND CHANGES IN FUND BALANCES -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2008

Exhibit B

	General	Road	Other Funds In The Aggregate
REVENUES			
State aid	\$ 569,067	\$ 1,060,822	\$ 1,778,884
Federal aid	41,078	203,434	79,986
Property taxes	381,568	170,358	543,385
Sales taxes	1,370,054	1,341,511	142,714
Fines, forfeitures, and costs	400,349		121,165
Interest	40,618	75,142	88,845
Officers' fees	52,220		193,537
Prisoner care	61,900		
911 Surcharges			191,743
Sanitation fees			503,135
Treasurer's commission	89,958		17,492
Collector's commission	72,755		42,576
Taxes apportioned - Assessor's salary and expense	291,147		
Other	564,296	19,854	62,486
TOTAL REVENUES	3,935,010	2,871,121	3,765,948
Less: Treasurer's commission	35,125	34,389	19,741
NET REVENUES	3,899,885	2,836,732	3,746,207
EXPENDITURES			
Current:			
General government	1,552,176		2,023,209
Law enforcement	2,322,734		245,784
Highways and streets		2,871,768	
Public safety	97,751		228,903
Sanitation			693,765
Health	65,263		
Recreation and culture	19,847		263,510
Social services	52,434		
Total Current	4,110,205	2,871,768	3,455,171
Debt Service:			
Note principal			650,000
Note interest and other charges			9,997
TOTAL EXPENDITURES	4,110,205	2,871,768	4,115,168

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES AND CHANGES IN FUND BALANCES -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2008

Exhibit B

	<u>General</u>	<u>Road</u>	<u>Other Funds In The Aggregate</u>
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	<u>\$ (210,320)</u>	<u>\$ (35,036)</u>	<u>\$ (368,961)</u>
OTHER FINANCING SOURCES (USES)			
Transfers in	92,644		10,000
Transfers out	<u>(10,000)</u>		<u>(92,644)</u>
TOTAL OTHER FINANCING SOURCES (USES)	<u>82,644</u>		<u>(82,644)</u>
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	(127,676)	(35,036)	(451,605)
FUND BALANCES - JANUARY 1	<u>1,826,495</u>	<u>3,245,389</u>	<u>3,901,950</u>
FUND BALANCES - DECEMBER 31	<u><u>\$ 1,698,819</u></u>	<u><u>\$ 3,210,353</u></u>	<u><u>\$ 3,450,345</u></u>

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES AND CHANGES IN FUND BALANCES -
BUDGET AND ACTUAL - GENERAL AND ROAD FUNDS - REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2008

Exhibit C

	General			Road		
	Budget	Actual	Variance Favorable (Unfavorable)	Budget	Actual	Variance Favorable (Unfavorable)
REVENUES						
State aid	\$ 490,000	\$ 569,067	\$ 79,067	\$ 1,015,000	\$ 1,060,822	\$ 45,822
Federal aid		41,078	41,078		203,434	203,434
Property taxes	452,500	381,568	(70,932)	176,000	170,358	(5,642)
Sales taxes	1,300,000	1,370,054	70,054	1,300,000	1,341,511	41,511
Fines, forfeitures, and costs	389,500	400,349	10,849			
Interest	50,000	40,618	(9,382)	120,000	75,142	(44,858)
Officers' fees	55,000	52,220	(2,780)			
Prisoner care	60,000	61,900	1,900			
Treasurer's commission	100,000	89,958	(10,042)			
Collector's commission	160,000	72,755	(87,245)			
Taxes apportioned - Assessor's salary and expense	500,000	291,147	(208,853)			
Other	423,700	564,296	140,596	50,000	19,854	(30,146)
TOTAL REVENUES	3,980,700	3,935,010	(45,690)	2,661,000	2,871,121	210,121
Less: Treasurer's commission		35,125	(35,125)		34,389	(34,389)
NET REVENUES	3,980,700	3,899,885	(80,815)	2,661,000	2,836,732	175,732
EXPENDITURES						
Current:						
General government	1,690,297	1,552,176	138,121			
Law enforcement	2,450,331	2,322,734	127,597			
Highways and streets				3,193,467	2,871,768	321,699
Public safety	70,918	97,751	(26,833)			
Health	67,280	65,263	2,017			
Recreation and culture	19,848	19,847	1			
Social services	54,948	52,434	2,514			
TOTAL EXPENDITURES	4,353,622	4,110,205	243,417	3,193,467	2,871,768	321,699

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES AND CHANGES IN FUND BALANCES -
BUDGET AND ACTUAL - GENERAL AND ROAD FUNDS - REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2008

Exhibit C

	General			Road		
	Budget	Actual	Variance Favorable (Unfavorable)	Budget	Actual	Variance Favorable (Unfavorable)
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	<u>\$ (372,922)</u>	<u>\$ (210,320)</u>	<u>\$ 162,602</u>	<u>\$ (532,467)</u>	<u>\$ (35,036)</u>	<u>\$ 497,431</u>
OTHER FINANCING SOURCES (USES)						
Transfers in	137,000	92,644	(44,356)			
Transfers out	<u>(25,500)</u>	<u>(10,000)</u>	<u>15,500</u>			
TOTAL OTHER FINANCING SOURCES (USES)	<u>111,500</u>	<u>82,644</u>	<u>(28,856)</u>			
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	(261,422)	(127,676)	133,746	(532,467)	(35,036)	497,431
FUND BALANCES - JANUARY 1	<u>1,000,000</u>	<u>1,826,495</u>	<u>826,495</u>	<u>2,500,000</u>	<u>3,245,389</u>	<u>745,389</u>
FUND BALANCES - DECEMBER 31	<u><u>\$ 738,578</u></u>	<u><u>\$ 1,698,819</u></u>	<u><u>\$ 960,241</u></u>	<u><u>\$ 1,967,533</u></u>	<u><u>\$ 3,210,353</u></u>	<u><u>\$ 1,242,820</u></u>

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2008

NOTE 1: Summary of Significant Accounting Policies

A. Financial Reporting Entity

The County is a political subdivision of the state governed by an elected quorum court. The reporting entity includes all the funds of the County.

B. Basis of Presentation - Regulatory Fund Accounting

The financial statements are presented in accordance with the regulatory basis of presentation as prescribed or permitted by Arkansas Code. The law requires that the financial statements be presented on a fund basis with, as a minimum, the general fund and road fund presented separately with all other funds included in the financial statements presented in the aggregate. This law also stipulates that the financial statements consist of a balance sheet; a statement of revenues, expenditures, and changes in fund balances; a comparison of the final adopted budget to actual expenditures for the general and road fund; notes to financial statements; and a supplemental schedule of capital assets.

A fund is defined as a fiscal and accounting entity with a self-balancing set of accounts recording cash and other financial resources, together with related liabilities and residual balances, and changes therein, which are segregated for purposes of carrying on specific activities or attaining certain objectives in accordance with special regulations, restrictions, or limitations.

The following types of funds are recognized in the accompanying regulatory basis financial statements.

General Fund - The General Fund is the primary operating fund and is used to account for all financial resources, except those required to be accounted for in another fund. The General Fund heading as it appears in the financial statements includes the following accounts: General, Various Fire Departments, Courthouse Annex, and Local Emergency Planning.

Road Fund - The Road Fund is used to account for the proceeds of specific revenue sources that are legally restricted to expenditures for maintaining and constructing County roads.

Other Funds in the Aggregate - Other Funds in the Aggregate consist of all funds included in the financial statements except for the General and Road Funds. The following types of funds are included in this column as follows:

Special Revenue Funds - Special Revenue Funds are used to account for the proceeds of specific revenue sources that are legally restricted to expenditures for specific purposes. The following Special Revenue Funds are reported with other funds in the aggregate: Office of Emergency Services, Clark County Marina, Indigent Investigator, Indigent Defense, County Recorder's Cost, Support Collection Costs, Juvenile Probation, Boating Safety, Breathalyzer, District Court Cost, Victim/Witness, Emergency 911, Sheriff's Drug Control, Disaster Recovery, Juvenile Work Supervision, Treasurer's Automation, Fire Communication, Mobile Emergency Operations, District Court Jail Fee, Local Law Enforcement Block Grant, Sanitation, Collector's Automation, County Clerk's Cost, District Court Automation, Fire Department Library Grant, Circuit Court Automation, Assessor's Amendment no. 79, Alumacraft Grant, Drug Enforcement, HITCO Grant, H & P Sales Grant, Jail Note, County Public Library, Communication Facility and Equipment, and Law Enforcement Equipment

Debt Service Funds - Debt Service Funds are used to account for the accumulation of resources for, and the payment of, general long-term debt principal, interest and related costs. The Debt Service Fund, 2005 Jail Construction, is reported with other funds in the aggregate.

Agency Funds - Agency Funds are used to account for assets held by the entity as an agent for individuals, private organizations, other governmental units, and other funds. The following Agency Funds are reported with other funds in the aggregate: County Treasurer – Treasurer's Commission, Collector's Commission, General School, Law Library, Okolona School District, Improvement Tax, DeGray Fire Department, Bail Bond, Treasurer's Escrow, City of Whelen Springs - General, and City of Whelen Springs - Road; Tax Collector – Current Tax and Delinquent Personal; County Sheriff – Bond and Fine, Fees and Circuit Bond; County Clerk – Fee; Circuit Clerk – Fee, Trust, and Child Support; and County Judge – Sanitation.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2008

NOTE 1: Summary of Significant Accounting Policies (Continued)

C. Basis of Accounting

The financial statements are prepared on the regulatory basis of accounting as prescribed or permitted by Arkansas Code. This regulatory basis differs from accounting principles generally accepted in the United States of America. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within sixty (60) days of the end of the current period. Expenditures generally are recorded when a liability is incurred. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due. As a result of the use of this regulatory basis of accounting, capital assets and long-term debt are not recorded in these financial statements.

D. Assets, Liabilities and Fund Balances

Cash and Cash Equivalents

For the purpose of financial reporting, "cash and cash equivalents" includes all demand and savings accounts and certificates of deposit.

Settlements Pending

Settlements pending are considered fines, forfeitures, costs, fees, and commissions that have not been transferred to the appropriate entities.

Fund Balance

1. Reserved Fund Balance indicates that portion of fund balance that is not appropriable for expenditure or is legally segregated for a specific future use.
2. Designated Fund Balance indicates that portion of fund balance for which the entity has made tentative plans for financial resource utilization in a future period.
3. Undesignated Fund Balance indicates that portion of fund balance not reserved or designated.

E. Property Taxes

A lien attaches to the real property in January and on personal property in June of each year. Property taxes are collectible beginning the first business day of March of the subsequent year, but are not considered delinquent until after October 10.

F. Budget Law

1. Legal Requirements

State law requires that the Quorum Court, before the end of each fiscal year, make appropriations, by ordinance, for the expenditures of County government for the following year. The Quorum Court may make appropriation amendments at any time during the current fiscal year. Appropriations lapse at the end of each year. Under certain conditions, the budget may be amended subsequent to the year-end.

2. Accounting

The County prepared an annual budget on the regulatory basis for the General Fund, Road Fund and the other Special Revenue Funds.

NOTE 2: Cash

Deposit risks related to credit risk, concentration of credit risk, interest rate risk, and foreign currency risk have not been provided as required by Governmental Accounting Standards Board Statement No. 40.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2008

NOTE 3: Legal or Contractual Provisions for Deposits and Investments

State law generally requires that county funds be deposited in federally insured banks located in the State of Arkansas. The County deposits may be in the form of checking accounts, savings accounts, and/or time deposits. Public funds may also be invested in direct obligations of the United States of America and obligations the principal and interest on which are fully guaranteed by the United States of America.

NOTE 4: Accounts Receivable

The accounts receivable balance at December 31, 2008 is composed of the following:

Description	General Fund	Road Fund	Other Funds in the Aggregate
State aid	\$ 25,698	\$ 76,396	397
Property taxes	17,771	7,217	35,000
Sales taxes	107,559	105,318	11,204
Fines, forfeitures, and costs	24,207		8,922
Officers' fees	2,038		10,450
911 Surcharges			34,307
Sanitation fees			55,528
Treasurer's commission	89,958		1,280
Collector's commission	72,755		42,576
Taxes Apportioned - Assessor's salary and expense	41,228	1,447	4,384
Other	32,607	190	6,976
Excess treasurer's commission	17,376	17,014	9,767
Totals	\$ 431,197	\$ 207,582	\$ 220,791

NOTE 5: Accounts Payable

The accounts payable balance at December 31, 2008 is composed of the following:

Description	General Fund	Road Fund	Other Funds in the Aggregate
Vendor payables	\$ 70,449	\$ 11,977	\$ 72,954
Salaries payable	342		
Payroll taxes payable	342		
Totals	\$ 71,133	\$ 11,977	\$ 72,954

NOTE 6: Legal Debt Limit

A. Bonded Debt

The County is subject to a constitutional limitation for bonded indebtedness equal to ten percent (10%) of the total assessed value for tax purposes of real and personal property as determined by the last tax assessment. At December 31, 2008, the legal debt limit for bonded debt was \$22,136,929. There were no property tax secured bond issues.

B. Short-term Financing Obligations

The County is subject to a constitutional limitation for short-term financing obligations equal to two and one half percent (2.5%) of the assessed value of taxable property within the County as determined by the last tax assessment. At December 31, 2008, the legal debt limit for short-term financing obligations was \$6,146,962. There were no short-term financing obligations.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2008

NOTE 7: Reserved Fund Balance

Reserved fund balance consists of the following:

	December 31, 2008
<u>General</u>	
Various Fire Departments	\$ 2,429
<u>Road</u>	\$ 3,210,353
<u>Other Funds in the Aggregate</u>	
Special Revenue Funds:	
Office of Emergency Services	\$ 47,556
Clark County Marina	42,125
Indigent Investigator	53,726
Indigent Defense	201,489
County Recorder's Cost	83,668
Support Collection Costs	28,604
Juvenile Probation	7,152
Boating Safety	23,232
Breathalyzer	18,155
District Court Cost	4,956
Victim/Witness	36,758
Emergency 911	395,616
Sheriff's Drug Control	4,311
Disaster Recovery	2,970
Juvenile Work Supervision	130,401
Treasurer's Automation	15,229
Mobile Emergency Operations	5,494
District Court Jail Fee	19,296
Local Law Enforcement Block Grant	24
Sanitation	649,941
Collector's Automation	145,072
County Clerk's Cost	17,321
District Court Automation	7,619
Fire Department Library Grant	134,574
Circuit Court Automation	24,749
Assessor's Amendment no. 79	18,262
Alumacraft Grant	1
Drug Enforcement	2,851
H & P Sales Grant	1
Jail Note	461,999
County Public Library	359,084
Communication Facility and Equipment	41,031
Total Special Revenue	2,983,267
<u>Debt Service Fund:</u>	
2005 Jail Construction	467,078
Total Other Funds in the Aggregate	\$ 3,450,345

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2008

NOTE 8: General Fund - Designated Fund Balance

General Fund designated fund balance consists of the following:

Description	December 31, 2008
Courthouse Annex	\$ 392,246
Local Emergency Planning	601
Total	<u>\$ 392,847</u>

NOTE 9: Commitments

Total commitments consist of the following at December 31, 2008:

	December 31, 2008
Long-Term Debt	\$ 343,374
Noncancellable Lease	20,400
Reappraisal Contract	<u>397,800</u>
Total Commitments	<u>\$ 761,574</u>

Long-Term Debt

Long-Term Debt at December 31, 2008 is comprised of the following:

	December 31, 2008
Landfill Closure and Postclosure Care Costs	\$ 305,795
Compensated Absences	<u>37,579</u>
Total Long-Term Debt	<u>\$ 343,374</u>

Due to the County's regulatory basis of accounting, these liabilities are not recorded in the financial statements.

Landfill Closure and Postclosure Care Costs

Clark County is the owner of permit no. 044-S4 to operate a Class IV solid waste landfill. State and federal regulations require a final cover to be placed on the landfill site when the County stops accepting waste and perform certain maintenance and monitoring functions at the site for two years after closure. Although closure and postclosure care costs will be paid only near or after the date the landfill stops accepting waste, a portion of these closure and postclosure care costs are being recognized as a commitment each year based on landfill capacity used as of the balance sheet date. The estimated commitment for the landfill closure and postclosure care costs has a balance of \$305,795 as of December 31, 2008, and represents the cumulative amount reported to date based on 99% usage of the landfill. The County will recognize the remaining estimated cost of closure and postclosure care of \$3,591 as the remaining estimated capacity is filled. At the present utilization rate, the landfill site life is estimated to exhaust in 3 months from the balance sheet date. However, the landfill is still being utilized at the audit report date.

Estimated costs are based on the amount that would be paid if all equipment, facilities and services required to close, monitor and maintain the landfill were acquired as of December 31, 2008. However, the actual cost of closure and postclosure may be higher due to inflation, changes in technology or changes in landfill laws and regulations.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2008

NOTE 9: Commitments (Continued)

Landfill Closure and Postclosure Care Costs (Continued)

The County has provided financial assurance for the closure and postclosure care costs with an irrevocable letter of credit from Elk Horn Bank dated May 23, 2008, in the amount of \$203,485, and in accordance with Ark. Code Ann. § 8-6-1603, the County has provided financial assurance of \$182,245 in the form of a Contract of Obligation dated June 12, 2007. This Contract of Obligation authorizes the State Treasurer to withhold from any funds being distributed from the State of Arkansas to Clark County the sum of \$182,245 upon receiving notice from the Director of the Arkansas Department of Environmental Quality of Clark County's failure to properly disclose operation.

Noncancellable Lease

The County entered into a noncancellable lease agreement for a kitchen facility with storage with the Clark County Fair Association on December 30, 2008. Terms of the lease are monthly rental payments of \$1,700 for 12 months beginning January 2009. The County is obligated for \$20,400 for 2009.

County-Wide Reappraisal Contract

The County entered into a contract with Mack-Reynolds Appraisal Company, Inc., on January 3, 2008, for a county-wide reappraisal. The terms of the contract, require \$16,575 monthly payments for 36 months with the first payment due January 15, 2008, and subsequent payments due on the 15th of each month thereafter. Payments on the contract for 2008 totaled \$198,900. The County is obligated for the following amounts for the next two years.

<u>Year</u>	<u>Amount</u>
2009	\$ 198,900
2010	198,900
Total	<u>\$ 397,800</u>

NOTE 10: Interfund Transfers

Transfers of \$10,000 were made from the General Fund to Other Funds in the Aggregate (District Court Cost Fund) for supplemental funding of the district court program. Transfers of \$92,644 were made from Other Funds in the Aggregate to the General Fund. Of this amount, \$51,413 was used for reimbursement of law enforcement expenditures (District Court Jail Fee and Communication Facility and Equipment Funds), \$40,000 for reimbursement of salary expenses (County Recorder's Cost Fund), \$1,087 for the correction of an error (District Court Jail Fee Fund), and \$144 for the closing of funds (Fire Communication and Law Enforcement Equipment Funds).

NOTE 11: Joint Venture

A. Reuse Committee

The City of Arkadelphia and Clark County were co-recipients of a \$750,000 grant under the 1983 Arkansas State Stimulus Program. The funds were used as a loan to an industry – Exchange Parts of Arkansas. Exchange Parts of America, Inc., a/k/a Exchange Parts of Arkansas Inc., filed for Chapter Eleven Bankruptcy in 1991 listing as an outstanding debt, a balance of \$478,383 of the original \$750,000 Job Stimulus Loan. The remaining balance of the original \$750,000 grant continues to be used to stimulate economic development within Clark County.

A joint committee was formed to oversee the activities associated with the use of these funds. The committee is composed of two members from the Clark County Quorum Court appointed by the County Judge and two members from the City of Arkadelphia Board of Directors appointed by the Mayor. The funds are held by the Arkadelphia City Treasurer and are disbursed upon the direction of the committee.

The principal and interest payments received by the Reuse Committee are used as outlined in Article V of the Reuse of Proceeds Plan to pay for administrative costs, as matching funds to secure other funds for economic development, to construct for resale or lease industrial facilities and to provide loans to help finance industrial or commercial undertakings.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2008

NOTE 11: Joint Venture (Continued)

A. Reuse Committee (Continued)

Annual written reports are to be submitted to the City of Arkadelphia Board of Directors, Clark County Quorum Court and Arkansas Industrial Development Commission. The Planning and Economic Development Division is covering the Committee's activities with regards to these funds.

The financial statements of the Reuse Committee have not been audited but may be obtained at 700 Clay, Arkadelphia, AR 71923.

B. Narcotics Enforcement Unit

The Prosecuting Attorneys of the Seventh and Ninth-East Judicial Districts, the Sheriff's Departments of Clark, Grant and Hot Spring Counties and the Police Departments of Malvern, Sheridan and Arkadelphia entered into an agreement to establish the Group "6" Narcotics Enforcement Unit. Funding was provided through a Drug Law Enforcement Program grant applied for by the Prosecuting Attorney of the Twenty-Second Judicial District. The County made no contributions to the Group "6" Narcotics Enforcement Unit or disbursements on behalf of the Group "6" Narcotics Enforcement Unit. The 2008 financial statements of the Group "6" Narcotics Enforcement have not been audited.

NOTE 12: Risk Management

The County is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; and natural disasters. These risks are covered by commercial insurance purchased from independent third parties and participation in a public entity risk pool. The amount of settlements, if any, has not exceeded the insurance coverage for each of the past three years. There were no significant reductions in insurance coverage in the major categories of risk from coverage in the prior year.

The County participates in the Association of Arkansas Counties Program (public entity risk pools) for coverage in the following area:

Workers' Compensation - This program provides statutory benefits for losses incurred by County officials, employees and volunteer fire fighters while performing work for the County. Rates for counties participating in this program are revised annually based on the cost experience of the particular county or group as determined by the Workers' Compensation Commission.

The County participates in the Arkansas Public Entities Risk Management Association (APERMA) public entity risk pool for coverage in the following areas:

Building and Contents Program - This program is a blanket policy with coverage up to \$100,000,000 for any one loss with a \$500 deductible. The County shall pay into the program each year a charge established annually by the Risk Management Fund Board for covered county property.

Vehicle Program

A. Liability - This program may pay all sums the County legally must pay as damages because of bodily injury, death or property damage to which this agreement applies involving a covered county vehicle and for which the County is liable. The limit of payment for in-state claims is \$25,000 for bodily injury per person, \$50,000 for bodily injury per accident and \$25,000 for property damage per accident (\$100,000 respectively for out-of-state claims). The County shall pay into the program each year a charge established annually by the Risk Management Fund Board for covered county vehicles owned or leased by the County.

B. Physical Damage - This program covers vehicles and mobile equipment which are the property of the participating county. Property is valued at the cost to repair or replace the property after deduction for depreciation. Loss amounts will be reduced by the deductible amount of \$1,000 for Sheriff's Department vehicles and \$500 for all other covered vehicles and mobile equipment. The County agrees to pay into the program each year a service charge established annually by the Risk Management Fund Board for covered property.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2008

NOTE 12: Risk Management (Continued)

General Liability Program - The program shall provide legal defense in civil rights suits against the county government of a participating county and pay judgments imposed on County officials and employees and the county government and county-formed boards and commissions. Coverage is limited to \$350,000 per case with an annual aggregate of \$350,000. The County shall pay into the program each year a charge established annually by the Risk Management Fund Board for this coverage.

The County also participates in the Self-Insured Fidelity Bond Program administered by the Governmental Bonding Board. This program covers actual losses sustained by the participating entity through any fraudulent or dishonest act or acts committed by any of the officials or employees, acting alone or in collusion with others, during the bond period to an amount not exceeding the lesser of \$250,000 or the amount of the bond. Premiums for coverage are determined by the State Risk Manager and approved by the Board. These premiums are paid by the State Treasurer from funds withheld from the County Aid Fund. There is a \$1,000 deductible per occurrence.

NOTE 13: Arkansas Public Employees Retirement System

Plan Description

The County contributes to the Arkansas Public Employees Retirement System (PERS), a cost-sharing multiple-employer defined benefit pension plan. PERS provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by State law and can be amended only by the Arkansas General Assembly. The Arkansas Public Employees Retirement System issues a publicly available financial report that includes financial statements and required supplementary information for PERS. That report may be obtained by writing to Arkansas Public Employees Retirement System, One Union National Plaza, 124 W. Capitol, Little Rock, Arkansas 72201 or by calling 1-800-682-7377.

Funding Policy

PERS has contributory and non-contributory plans. Contributory members are required by code to contribute 5% of their salary. Each participating employer is required by code to contribute at a rate established by the Board of Trustees of the system based on the annual actuarial valuation.

NOTE 14: Economic Development Corporation of Clark County, Arkansas

The Economic Development Corporation of Clark County, Arkansas (EDCCC) was established as authorized by Ark. Code Ann. §§ 14-175-101 – 14-175-116. The EDCCC was incorporated as a nonprofit organization on September 11, 2007, for the purpose of securing and developing industry and fostering economic development. On June 12, 2007, a one-half cent sales and use tax was approved for a period of seven years to be used solely for economic development. Accordingly, Clark County remits to the EDCCC the revenues derived from this tax which totaled \$1,519,548 in 2008. An audit report of the EDCCC has not been provided.

CLARK COUNTY, ARKANSAS
 COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 DECEMBER 31, 2008

Schedule 1

SPECIAL REVENUE FUNDS

	Office of Emergency Services	Clark County Marina	Indigent Investigator	Indigent Defense	County Recorder's Cost	Support Collection Costs	Juvenile Probation	Boating Safety	Breathalyzer
ASSETS									
Cash and cash equivalents	\$ 47,677	\$ 41,217	\$ 53,114	\$ 201,762	\$ 74,749	\$ 28,565	\$ 7,151	\$ 22,808	\$ 18,049
Accounts receivable	9	908	612	1,727	9,978	39	1	424	106
TOTAL ASSETS	\$ 47,686	\$ 42,125	\$ 53,726	\$ 203,489	\$ 84,727	\$ 28,604	\$ 7,152	\$ 23,232	\$ 18,155
LIABILITIES AND FUND BALANCES									
Liabilities:									
Accounts payable	\$ 130			\$ 2,000	\$ 1,059				
Settlements pending									
Total Liabilities	130			2,000	1,059				
Fund Balances:									
Reserved	47,556	\$ 42,125	\$ 53,726	201,489	83,668	\$ 28,604	\$ 7,152	\$ 23,232	\$ 18,155
TOTAL LIABILITIES AND FUND BALANCES	\$ 47,686	\$ 42,125	\$ 53,726	\$ 203,489	\$ 84,727	\$ 28,604	\$ 7,152	\$ 23,232	\$ 18,155

CLARK COUNTY, ARKANSAS
 COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 DECEMBER 31, 2008

Schedule 1

SPECIAL REVENUE FUNDS									
	District Court Cost	Victim/ Witness	Emergency 911	Sheriff's Drug Control	Disaster Recovery	Juvenile Work Supervision	Treasurer's Automation	Mobile Emergency Operations	District Court Jail Fee
ASSETS									
Cash and cash equivalents	\$ 4,362	\$ 33,023	\$ 361,535	\$ 4,310	\$ 3,688	\$ 130,481	\$ 13,998	\$ 5,493	\$ 27,869
Accounts receivable	1,957	3,769	35,408	1	1	22	1,283	1	1,584
TOTAL ASSETS	<u>\$ 6,319</u>	<u>\$ 36,792</u>	<u>\$ 396,943</u>	<u>\$ 4,311</u>	<u>\$ 3,689</u>	<u>\$ 130,503</u>	<u>\$ 15,281</u>	<u>\$ 5,494</u>	<u>\$ 29,453</u>
LIABILITIES AND FUND BALANCES									
Liabilities:									
Accounts payable	\$ 1,363	\$ 34	\$ 1,327		\$ 719	\$ 102	\$ 52		\$ 10,157
Settlements pending									
Total Liabilities	<u>1,363</u>	<u>34</u>	<u>1,327</u>		<u>719</u>	<u>102</u>	<u>52</u>		<u>10,157</u>
Fund Balances:									
Reserved	4,956	36,758	395,616	\$ 4,311	2,970	130,401	15,229	\$ 5,494	19,296
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 6,319</u>	<u>\$ 36,792</u>	<u>\$ 396,943</u>	<u>\$ 4,311</u>	<u>\$ 3,689</u>	<u>\$ 130,503</u>	<u>\$ 15,281</u>	<u>\$ 5,494</u>	<u>\$ 29,453</u>

CLARK COUNTY, ARKANSAS
COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
DECEMBER 31, 2008

Schedule 1

SPECIAL REVENUE FUNDS								
	Local Law Enforcement Block Grant	Sanitation	Collector's Automation	County Clerk's Cost	District Court Automation	Fire Department Library Grant	Circuit Court Automation	Assessor's Amendment no. 79
ASSETS								
Cash and cash equivalents	\$ 24	\$ 594,199	\$ 106,260	\$ 16,370	\$ 7,291	\$ 134,570	\$ 24,376	\$ 18,211
Accounts receivable		76,616	48,672	951	328	15	373	51
TOTAL ASSETS	<u>\$ 24</u>	<u>\$ 670,815</u>	<u>\$ 154,932</u>	<u>\$ 17,321</u>	<u>\$ 7,619</u>	<u>\$ 134,585</u>	<u>\$ 24,749</u>	<u>\$ 18,262</u>
LIABILITIES AND FUND BALANCES								
Liabilities:								
Accounts payable		\$ 20,412	\$ 69			\$ 11		
Settlements pending		462	9,791					
Total Liabilities		<u>20,874</u>	<u>9,860</u>			<u>11</u>		
Fund Balances:								
Reserved	\$ 24	649,941	145,072	\$ 17,321	\$ 7,619	134,574	\$ 24,749	\$ 18,262
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 24</u>	<u>\$ 670,815</u>	<u>\$ 154,932</u>	<u>\$ 17,321</u>	<u>\$ 7,619</u>	<u>\$ 134,585</u>	<u>\$ 24,749</u>	<u>\$ 18,262</u>

CLARK COUNTY, ARKANSAS
 COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 DECEMBER 31, 2008

Schedule 1

	SPECIAL REVENUE FUNDS						DEBT SERVICE FUND
	Alumacraft Grant	Drug Enforcement	H & P Sales Grant	Jail Note	County Public Library	Communication Facility and Equipment	2005 Jail Construction
ASSETS							
Cash and cash equivalents	\$ 1	\$ 2,851	\$ 1	\$ 470,478	\$ 352,051	\$ 41,031	\$ 467,078
Accounts receivable				23,906	12,049		
TOTAL ASSETS	<u>\$ 1</u>	<u>\$ 2,851</u>	<u>\$ 1</u>	<u>\$ 494,384</u>	<u>\$ 364,100</u>	<u>\$ 41,031</u>	<u>\$ 467,078</u>
LIABILITIES AND FUND BALANCES							
Liabilities:							
Accounts payable				\$ 31,427	\$ 4,092		
Settlements pending				958	924		
Total Liabilities				<u>32,385</u>	<u>5,016</u>		
Fund Balances:							
Reserved	<u>\$ 1</u>	<u>\$ 2,851</u>	<u>\$ 1</u>	<u>461,999</u>	<u>359,084</u>	<u>\$ 41,031</u>	<u>\$ 467,078</u>
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 1</u>	<u>\$ 2,851</u>	<u>\$ 1</u>	<u>\$ 494,384</u>	<u>\$ 364,100</u>	<u>\$ 41,031</u>	<u>\$ 467,078</u>

CLARK COUNTY, ARKANSAS
COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
DECEMBER 31, 2008

Schedule 1

	AGENCY FUNDS						
	Treasurer's Accounts	Collector's Accounts	Sheriff's Accounts	County Clerk's Accounts	Circuit Clerk's Accounts	County Judge's Accounts	Totals
ASSETS							
Cash and cash equivalents	\$ 739,945	\$ 71,211	\$ 35,559	\$ 1,653	\$ 123,856	\$ 55,528	\$ 4,342,395
Accounts receivable							220,791
TOTAL ASSETS	\$ 739,945	\$ 71,211	\$ 35,559	\$ 1,653	\$ 123,856	\$ 55,528	\$ 4,563,186
LIABILITIES AND FUND BALANCES							
Liabilities:							
Accounts payable							\$ 72,954
Settlements pending	\$ 739,945	\$ 71,211	\$ 35,559	\$ 1,653	\$ 123,856	\$ 55,528	1,039,887
Total Liabilities	739,945	71,211	35,559	1,653	123,856	55,528	1,112,841
Fund Balances:							
Reserved							3,450,345
TOTAL LIABILITIES AND FUND BALANCES	\$ 739,945	\$ 71,211	\$ 35,559	\$ 1,653	\$ 123,856	\$ 55,528	\$ 4,563,186

CLARK COUNTY, ARKANSAS
 COMBINING STATEMENT OF REVENUES, EXPENDITURES AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 FOR THE YEAR ENDED DECEMBER 31, 2008

Schedule 2

	SPECIAL REVENUE FUNDS						
	Office of Emergency Services	Clark County Marina	Indigent Investigator	Indigent Defense	County Recorder's Cost	Support Collection Costs	Juvenile Probation
REVENUES							
State aid							
Federal aid	\$ 79,986						
Property taxes							
Sales taxes							
Fines, forfeitures, and costs			\$ 7,518	\$ 21,993			
Interest	1,334	\$ 808	1,285	5,431	\$ 6,835	\$ 705	
Officers' fees					154,579	5,128	\$ 184
911 Surcharges							
Sanitation fees							
Treasurer's Commission							
Collector's Commission							
Other	15	18,371	64	447	904	63	4
TOTAL REVENUES	81,335	19,179	8,867	27,871	162,318	5,896	188
Less: Treasurer's commission	18	270	110	347	2,040	78	2
NET REVENUES	81,317	18,909	8,757	27,524	160,278	5,818	186
EXPENDITURES							
Current:							
General government					260,920	98	
Law enforcement				41,045			
Public safety	85,503						
Sanitation							
Recreation and culture							
Total Current	85,503			41,045	260,920	98	
Debt Service:							
Note principal							
Note interest and other charges							
TOTAL EXPENDITURES	85,503			41,045	260,920	98	
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	(4,186)	18,909	8,757	(13,521)	(100,642)	5,720	186
OTHER FINANCING SOURCES (USES)							
Transfers in							
Transfers out					(40,000)		
TOTAL OTHER FINANCING SOURCES (USES)					(40,000)		
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	(4,186)	18,909	8,757	(13,521)	(140,642)	5,720	186
FUND BALANCES - JANUARY 1	51,742	23,216	44,969	215,010	224,310	22,884	6,966
FUND BALANCES - DECEMBER 31	\$ 47,556	\$ 42,125	\$ 53,726	\$ 201,489	\$ 83,668	\$ 28,604	\$ 7,152

CLARK COUNTY, ARKANSAS
 COMBINING STATEMENT OF REVENUES, EXPENDITURES AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 FOR THE YEAR ENDED DECEMBER 31, 2008

Schedule 2

	SPECIAL REVENUE FUNDS								
	Boating Safety	Breathalyzer	District Court Cost	Victim/ Witness	Emergency 911	Sheriff's Drug Control	Disaster Recovery	Juvenile Work Supervision	Treasurer's Automation
REVENUES									
State aid	\$ 4,014								
Federal aid									
Property taxes									
Sales taxes									
Fines, forfeitures, and costs									
Interest	542	\$ 1,183 466	\$ 21,497 212	\$ 43,637 758	\$ 8,940	\$ 130	\$ 114	\$ 3,388	\$ 331
Officers' fees									
911 Surcharges					191,743				
Sanitation fees									
Treasurer's Commission									17,492
Collector's Commission									
Other	24	14	164	343	1,026	5	2	42	107
TOTAL REVENUES	4,580	1,663	21,873	44,738	201,709	135	116	3,430	17,930
Less: Treasurer's commission	56	22	289	552	2,226	2	2	45	4
NET REVENUES	4,524	1,641	21,584	44,186	199,483	133	114	3,385	17,926
EXPENDITURES									
Current:									
General government									24,890
Law enforcement		1,527	37,147			3,866			
Public safety	180			33,842	106,481		1,542	1,344	
Sanitation									
Recreation and culture									
Total Current	180	1,527	37,147	33,842	106,481	3,866	1,542	1,344	24,890
Debt Service:									
Note principal									
Note interest and other charges									
TOTAL EXPENDITURES	180	1,527	37,147	33,842	106,481	3,866	1,542	1,344	24,890
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	4,344	114	(15,563)	10,344	93,002	(3,733)	(1,428)	2,041	(6,964)
OTHER FINANCING SOURCES (USES)									
Transfers in			10,000						
Transfers out									
TOTAL OTHER FINANCING SOURCES (USES)			10,000						
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	4,344	114	(5,563)	10,344	93,002	(3,733)	(1,428)	2,041	(6,964)
FUND BALANCES - JANUARY 1	18,888	18,041	10,519	26,414	302,614	8,044	4,398	128,360	22,193
FUND BALANCES - DECEMBER 31	\$ 23,232	\$ 18,155	\$ 4,956	\$ 36,758	\$ 395,616	\$ 4,311	\$ 2,970	\$ 130,401	\$ 15,229

CLARK COUNTY, ARKANSAS
 COMBINING STATEMENT OF REVENUES, EXPENDITURES AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 FOR THE YEAR ENDED DECEMBER 31, 2008

Schedule 2

	SPECIAL REVENUE FUNDS							
	Fire Communication	Mobile Emergency Operations	District Court Jail Fee	Local Law Enforcement Block Grant	Sanitation	Collector's Automation	County Clerk's Cost	District Court Automation
REVENUES								
State aid					\$ 15,875			
Federal aid								
Property taxes					101,064			
Sales taxes					142,714			
Fines, forfeitures, and costs			\$ 25,337					
Interest		\$ 141	1,157	\$ 1	16,160	\$ 3,462	\$ 338	\$ 152
Officers' fees							15,212	5,815
911 Surcharges								
Sanitation fees					503,135			
Treasurer's Commission								
Collector's Commission						42,576		
Other		2	176		8,237	41	106	30
TOTAL REVENUES		143	26,670	1	787,185	46,079	15,656	5,997
Less: Treasurer's commission		2	361		9,638	46	197	76
NET REVENUES		141	26,309	1	777,547	46,033	15,459	5,921
EXPENDITURES								
Current:								
General government						73,819	13,524	
Law enforcement			24,324					1,759
Public safety								
Sanitation					693,765			
Recreation and culture								
Total Current			24,324		693,765	73,819	13,524	1,759
Debt Service:								
Note principal								
Note interest and other charges								
TOTAL EXPENDITURES			24,324		693,765	73,819	13,524	1,759
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES		141	1,985	1	83,782	(27,786)	1,935	4,162
OTHER FINANCING SOURCES (USES)								
Transfers in								
Transfers out	\$ (4)		(26,087)					
TOTAL OTHER FINANCING SOURCES (USES)	(4)		(26,087)					
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	(4)	141	(24,102)	1	83,782	(27,786)	1,935	4,162
FUND BALANCES - JANUARY 1	4	5,353	43,398	23	566,159	172,858	15,386	3,457
FUND BALANCES - DECEMBER 31	\$ 0	\$ 5,494	\$ 19,296	\$ 24	\$ 649,941	\$ 145,072	\$ 17,321	\$ 7,619

CLARK COUNTY, ARKANSAS
 COMBINING STATEMENT OF REVENUES, EXPENDITURES AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 FOR THE YEAR ENDED DECEMBER 31, 2008

Schedule 2

	SPECIAL REVENUE FUNDS						
	Fire Department Library Grant	Circuit Court Automation	Assessor's Amendment no. 79	Alumacraft Grant	Drug Enforcement	HITCO Grant	H & P Sales Grant
REVENUES							
State aid	\$ 70,000		\$ 7,312	\$ 70,361		\$ 1,304,770	\$ 274,829
Federal aid							
Property taxes							
Sales taxes							
Fines, forfeitures, and costs							
Interest	2,219	\$ 571	469		\$ 9		
Officers' fees		5,168					
911 Surcharges							
Sanitation fees							
Treasurer's Commission							
Collector's Commission							
Other	15,015	35	46		230		
TOTAL REVENUES	87,234	5,774	7,827	70,361	239	1,304,770	274,829
Less: Treasurer's commission	30	72	104				
NET REVENUES	87,204	5,702	7,723	70,361	239	1,304,770	274,829
EXPENDITURES							
Current:							
General government				70,360		1,304,770	274,828
Law enforcement					2,600		
Public safety	11						
Sanitation							
Recreation and culture							
Total Current	11			70,360	2,600	1,304,770	274,828
Debt Service:							
Note principal							
Note interest and other charges							
TOTAL EXPENDITURES	11			70,360	2,600	1,304,770	274,828
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	87,193	5,702	7,723	1	(2,361)	0	1
OTHER FINANCING SOURCES (USES)							
Transfers in							
Transfers out							
TOTAL OTHER FINANCING SOURCES (USES)							
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	87,193	5,702	7,723	1	(2,361)		1
FUND BALANCES - JANUARY 1	47,381	19,047	10,539	0	5,212		0
FUND BALANCES - DECEMBER 31	\$ 134,574	\$ 24,749	\$ 18,262	\$ 1	\$ 2,851	\$ 0	\$ 1

CLARK COUNTY, ARKANSAS
 COMBINING STATEMENT OF REVENUES, EXPENDITURES AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 FOR THE YEAR ENDED DECEMBER 31, 2008

Schedule 2

	SPECIAL REVENUE FUNDS				DEBT SERVICE FUND 2005 Jail Construction	Totals
	Jail Note	County Public Library	Communication Facility and Equipment	Law Enforcement Equipment		
REVENUES						
State aid		\$ 31,723				\$ 1,778,884
Federal aid						79,986
Property taxes	\$ 238,814	203,507				543,385
Sales taxes						142,714
Fines, forfeitures, and costs						121,165
Interest	8,419	8,561	\$ 635		\$ 15,272	88,845
Officers' fees			7,451			193,537
911 Surcharges						191,743
Sanitation fees						503,135
Treasurer's Commission						17,492
Collector's Commission						42,576
Other	230	6,877	9,866			62,486
TOTAL REVENUES	247,463	250,668	17,952		15,272	3,765,948
Less: Treasurer's commission		3,152				19,741
NET REVENUES	247,463	247,516	17,952		15,272	3,746,207
EXPENDITURES						
Current:						
General government						2,023,209
Law enforcement	31,427		102,089			245,784
Public safety						228,903
Sanitation						693,765
Recreation and culture		263,510				263,510
Total Current	31,427	263,510	102,089			3,455,171
Debt Service:						
Note principal					650,000	650,000
Note interest and other charges					9,997	9,997
TOTAL EXPENDITURES	31,427	263,510	102,089		659,997	4,115,168
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	216,036	(15,994)	(84,137)		(644,725)	(368,961)
OTHER FINANCING SOURCES (USES)						
Transfers in						10,000
Transfers out			(26,413)	\$ (140)		(92,644)
TOTAL OTHER FINANCING SOURCES (USES)			(26,413)	(140)		(82,644)
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	216,036	(15,994)	(110,550)	(140)	(644,725)	(451,605)
FUND BALANCES - JANUARY 1	245,963	375,078	151,581	140	1,111,803	3,901,950
FUND BALANCES - DECEMBER 31	\$ 461,999	\$ 359,084	\$ 41,031	\$ 0	\$ 467,078	\$ 3,450,345

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
FOR THE YEAR ENDED DECEMBER 31, 2008

The following funds and descriptions represent all funds reported as other funds in the aggregate.

Fund Name	Fund Description
Office of Emergency Services	Fund was established to receive Federal and State aid to be used for occurrence of a major emergency or disaster.
Clark County Marina	Clark County Ordinance no. 2007-12 (September 11, 2007) established fund to receive a percentage of revenues from the sub-lease of property on DeGray Lake to be used for continued development of the public use areas on DeGray Lake.
Indigent Investigator	Ark. Code Ann. § 16-10-307 established County Administration of Justice Fund which continues to finance this fund used for defense of indigents.
Indigent Defense	Ark. Code Ann. § 16-10-307 established County Administration of justice fund which continues to finance this fund used for defense of indigents.
County Recorder's Cost	Ark. Code Ann. § 21-6-306 established fund to receive fees collected by Circuit Clerks to be used for automated record systems and any legitimate county purpose.
Support Collection Costs	Ark. Code Ann. § 9-10-109 established fund to receive fees to offset administrative costs in the clerk's office.
Juvenile Probation	Ark. Code Ann. § 16-13-326 established fund to collect juvenile fees and provide services and supplies to juveniles at the discretion of the juvenile division of circuit court.
Boating Safety	Ark. Code Ann. § 27-101-111 established fund to receive fees to be used for operating a patrol on the waterways within a County or for emergency rescue services if the County has not established a patrol.
Breathalyzer	Ark. Code Ann. § 16-10-307 established County Administration of Justice Fund which continues to finance this fund for the acquisition and operation of intoxication detection equipment.
District Court Cost	Ark. Code Ann. § 16-17-126 authorizes District Court filing fees for writs of garnishment and executions to be appropriated for any permissible use in the administration of the District Court.
Victim/Witness	Ark. Code Ann. § 16-21-151 established fund to receive District Court cost levied to be used by Prosecuting Attorney for operating victim/witness program.
Emergency 911	Ark. Code Ann. § 12-10-318 established fund to receive fees collected by telephone providers for 911 emergency services.
Sheriff's Drug Control	Ark. Code Ann. § 5-64-505 established fund to receive asset forfeitures resulting from drug offense cases due to arresting agency.

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
FOR THE YEAR ENDED DECEMBER 31, 2008

The following funds and descriptions represent all funds reported as other funds in the aggregate.

Fund Name	Fund Description
Disaster Recovery	Ark. Code Ann. § 12-75-123 established fund to receive Federal and State aid to be used for occurrence of a major emergency or disaster.
Juvenile Work Supervision	Established to receive Ross Foundation grant funds for reimbursable expenditures for supervision of juvenile probation program.
Treasurer's Automation	Ark. Code Ann. § 21-6-302 established fund to receive up to 10% of Treasurer's gross commissions to operate the Treasurer's office and to purchase, maintain and operate an automated record keeping system.
Fire Communication	Clark County Ordinance no. 2007-12 (September 11, 2007) established fund under Act 1396 of 1999 to receive miscellaneous grants to be used for purchase of safety equipment, communications and technology for rural fire departments.
Mobile Emergency Operations	Ark. Code Ann. § 12-75-102 established fund to receive Federal and State aid to be used for occurrence of a major emergency or disaster.
District Court Jail Fee	Ark. Code Ann. § 12-41-505 established fund to receive a \$20 booking and administration fee assessed on persons convicted of a felony or Class A misdemeanor to be used exclusively for the maintenance, operation and capital expenditures of a county jail or regional detention facility.
Local Law Enforcement Block Grant	Clark County Ordinance no. 2007-12 (September 11, 2007) established fund to receive aid from the Local Law Enforcement Block Grant program to be used to purchase equipment for the Sheriff's office.
Sanitation	Established for designated sales taxes by Clark County Ordinance no. 299 (June 14, 1988) sanitation fee collections and operating expenses of the County Sanitation Department.
Collector's Automation	Ark. Code Ann. § 21-6-305 established fund to receive up to 10% of Collector's gross commissions to operate the Collector's office and to purchase, maintain and operate an automated record keeping system.
County Clerk's Cost	Ark. Code Ann. § 21-6-306 established fund to receive fees collected by county clerks to be used for automated record systems and any legitimate county purpose.
District Court Automation	Ark. Code Ann. § 16-13-704 established fund to receive District Court installment fees of 1/2 of \$5 per month on each person to be used for court related technology.
Fire Department Library Grant	Clark County Ordinance no. 2007-12 (September 11, 2007) established fund under Act 1349 of 2001 to receive miscellaneous grants for volunteer and rural fire departments to set up a training facility to be used by Clark County Rural Fire Departments.
Circuit Court Automation	Ark. Code Ann. § 16-13-704 established fund to receive District Court installment fees of 1/2 of \$5 per month on each person to be used for court related technology.

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
FOR THE YEAR ENDED DECEMBER 31, 2008

The following funds and descriptions represent all funds reported as other funds in the aggregate.

Fund Name	Fund Description
Assessor's Amendment no.79	Ark. Code Ann. § 26-26-310 provides that 1% of the county's share of surplus funds from the Property Tax Relief Trust Fund be allocated to County Assessors for the purpose of administering Ark. Const. amend. 79.
Alumacraft Grant	Clark County Resolution no. 2007-11 (September 11, 2007) established fund to receive grant funds from the Arkansas Community and Economic Development Program to be used for improving Alumacraft's parking lot.
Drug Enforcement	Ark. Code Ann § 14-21-201 established fund to receive appropriated county funds to be used for direct expenses associated with the investigation of criminal drug laws.
HITCO Grant	Clark County Resolution no. 2007-11 (September 11, 2007) established fund to receive grant funds from the Arkansas Community and Economic Development Program to be used for purchase of equipment for the facility located in Clark County.
H & P Sales Grant	Clark County Resolution no. 2007-11 (September 11, 2007) established fund to receive grant funds from the Arkansas Community and Economic Development Program to be used to construct a facility for H & P Sales in Clark County.
Jail Note	Clark County Ordinance no. 2005-01 (February 15, 2005) established fund with revenues from millage increase in property taxes to be used for but not limited to the repayment of the bond principal and interest . This fund, however, was used for general jail disbursements in 2005 as the debt was retired by the 2005 Jail Construction Fund.
County Public Library	Ark. Code Ann. § 13-2-404 established fund to account for library property tax millage levied by the Quorum Court.
Communication Facility and Equipment	Ark. Code Ann. §§ 21-6-307, 12-41-105 established fund to receive 25% of Sheriff's fees collected and phone commission funds to be used for communications equipment and repair and to train operations staff.
Law Enforcement Equipment	Established to receive funds from 2006 public auction of confiscated weapons in accordance with Ark. Code Ann. § 16-90-119 to be used for the purchase of police vests.
2005 Jail Construction	Clark County Resolution no. 2007-11 (September 11, 2007) established fund with revenues from the sale of General Revenue Promissory Notes to be used for the expansion of current jail facilities or construction of a new jail. In 2008, the County had done neither and used the bond proceeds to retire the remainder of the debt.

Treasurer's accounts consist primarily of property taxes, treasurer's commission, and interest not distributed to the appropriate entities.

Collector's accounts consist primarily of delinquent taxes not yet distributed to the various taxing units.

Sheriff's accounts consist primarily of inmate trust monies.

County/Circuit Clerk's accounts consist primarily of trust money awaiting disposition by the applicable court.

County Judge's account consist of the sanitation fees collected not yet settled with the County Treasurer.

CLARK COUNTY, ARKANSAS
SUPPLEMENTARY INFORMATION
SCHEDULE OF CAPITAL ASSETS
DECEMBER 31, 2008
(Unaudited)

	<u>December 31, 2008</u>
Land	\$ 387,048
Buildings	6,539,288
Equipment	<u>7,108,219</u>
Total	<u><u>\$ 14,034,555</u></u>

CLARK COUNTY, ARKANSAS
SCHEDULE OF SELECTED INFORMATION FOR THE LAST FIVE YEARS - REGULATORY BASIS
DECEMBER 31, 2008
(Unaudited)

<u>General</u>	2008	2007	2006	2005	2004
Total Assets	\$ 1,857,749	\$ 1,547,063	\$ 1,515,094	\$ 1,760,736	\$ 2,133,536
Total Liabilities	158,930			41,763	
Total Fund Balances	1,698,819	1,547,063	1,515,094	1,718,973	2,133,536
Net Revenues	3,899,885	3,794,790	3,853,942	3,525,879	3,442,375
Total Expenditures	4,110,205	3,786,728	4,096,506	3,753,929	3,512,315
<u>Road</u>					
Total Assets	\$ 3,223,104	\$ 3,104,421	\$ 2,943,927	\$ 2,426,273	\$ 2,320,792
Total Liabilities	12,751				
Total Fund Balances	3,210,353	3,104,421	2,943,927	2,426,273	2,320,792
Net Revenues	2,836,732	2,577,870	2,581,678	2,498,373	2,361,361
Total Expenditures	2,871,768	2,417,376	2,063,444	2,392,892	2,086,340
<u>Other Funds in the Aggregate</u>					
Total Assets	\$ 4,563,186	\$ 4,872,958	\$ 4,591,387	\$ 4,460,295	\$ 3,075,096
Total Liabilities	1,112,841	1,035,874	991,983	988,730	928,818
Total Fund Balances	3,450,345	3,837,084	3,599,404	3,471,565	2,146,278
Net Revenues	3,746,207	2,450,591	1,962,544	1,836,349	1,715,341
Total Expenditures	4,115,168	2,189,003	1,838,363	1,706,048	1,748,731

The financial statements are prepared on the regulatory basis of accounting as reported in Note 1(C) of the audit reports.